

Siemens Healthineers AG (SHLG.DE)

Broadly inline for Q3 26 but continue to see FY27 downside risk from China Dx; Neutral

SHLG.DE 12m Price Target: €42.00 Price: €35.25 Upside: 19.1%

We sit broadly in line on Q3 consensus EBIT/EPS for Healthineers.

We estimate +4.1% organic revenue growth in Q3 26 (vs 4.8% Visible Alpha Consensus) and revenue of €5,783m (-1% below consensus); our top-line estimates are below consensus across the group. We expect broad based margin pressure on Y/Y basis as a result of cost pressures and FX leading to a group adjusted EBIT margin of 15.6%; our adjusted EBIT is €899m (broadly in line with consensus).

We continue to see modest downside risk to consensus expectations in FY27 due to Diagnostics. Given this risk of further policy headwinds (Unified pricing and Hemostasis VBP; updates from China peers below) we take a more cautious view on the industry and model a shallower recovery in Diagnostics profitability in FY27e; we note consensus assumes +73% Y/Y EBIT growth in FY27e (which accounts for ~20% of group EBIT growth). GSe -4% below Visible Alpha Consensus FY27 adjust EPS, driven by Diagnostics and upward pressure on finance cost from refinancing.

Recent press on diagnostics spin could be a positive, long-dated catalyst. Recent press coverage has highlighted the possibility of a Diagnostics separation within the next 24 months, with reports indicating a valuation of approximately €6bn. On our estimates, a Diagnostics separation would be accretive to group organic growth and margins (given Diagnostics is a lower growth and margin business vs Imaging/Precision Therapy) and any cash proceeds could accelerate deleveraging.

Overall we believe that the lack of positive EPS revisions will continue to weigh on shares. Despite the technical overhang associated with Siemens AG's stake reduction, Healthineers has not seen material positive earnings revisions since December 2021. Updating for latest FX, our adj. EBIT/EPS estimates are +1% in FY26/27/28e. Based on our new estimates, Healthineers is trading on 14.5x 12m fwd P/E and 11.1x EV/EBITDA. We are Neutral rated.

NEUTRAL

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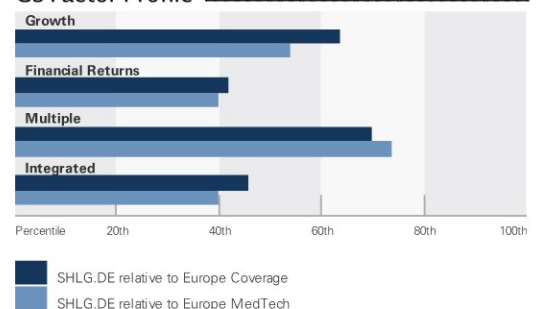
Key Data

Market cap: €39.5bn / \$45.1bn
Enterprise value: €51.6bn / \$59.0bn
3m ADTV: €39.0mn / \$45.3mn
Germany
Europe MedTech
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	9/25	9/26E	9/27E	9/28E
Revenue (€ mn) New	23,375.0	23,840.0	25,212.6	26,717.5
Revenue (€ mn) Old	23,375.0	23,710.1	25,075.2	26,571.9
EBIT (€ mn)	3,498.0	3,367.9	3,662.4	4,061.8
EPS (€) New	2.39	2.27	2.38	2.65
EPS (€) Old	2.39	2.25	2.36	2.64
P/E (X)	20.7	15.5	14.8	13.3
Dividend yield (%)	2.1	2.9	3.1	3.5
CROCI (%)	9.4	8.0	8.3	8.7
N debt/EBITDA (ex lease,X)	2.7	2.9	2.6	2.2
	12/25	3/26	6/26E	9/26E
EPS (€)	0.49	0.53	0.54	0.70

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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NEUTRAL

Siemens Healthineers AG (SHLG.DE)

Rating since Jul 12, 2023

Ratios & Valuation

	9/25	9/26E	9/27E	9/28E
EV/sales (X)	2.9	2.2	2.0	1.9
EV/EBITDAR (X)	14.2	11.9	11.0	9.9
EV/EBITDA (excl. leases) (X)	14.7	12.4	11.4	10.2
EV/EBIT (X)	21.5	16.8	15.2	13.4
P/E (X)	20.7	15.5	14.8	13.3
Dividend yield (%)	2.1	2.9	3.1	3.5
EV/GCI (X)	1.7	1.2	1.2	1.1
CROCI (%)	9.4	8.0	8.3	8.7
ROIC (%)	9.2	9.1	9.5	10.3
ROA (%)	5.3	5.2	5.4	5.9
Days inventory outst, sales	64.9	65.2	65.0	64.5
Asset turnover (X)	5.1	4.7	4.3	4.0
Capex/D&A (%)	55.6	84.5	82.6	80.2
Net debt/equity (excl. leases) (%)	68.0	63.1	57.2	50.2
EBIT interest cover (X)	7.9	6.7	6.5	7.3
FCF cover of dividends (X)	2.3	1.6	1.7	1.7

Growth & Margins (%)

	9/25	9/26E	9/27E	9/28E
Total revenue growth	4.5	2.0	5.8	6.0
EBITDA growth	10.4	(9.4)	7.8	9.8
EBIT growth	12.4	(2.4)	9.3	11.5
Net inc. growth	7.6	(5.2)	4.8	11.7
EPS growth	7.6	(5.2)	4.8	11.7
DPS growth	12.1	(4.0)	6.3	14.0

Price Performance



Source: FactSet. Price as of 7 Jul 2026 close.

Income Statement (€ mn)

	9/25	9/26E	9/27E	9/28E
Total revenue	23,375.0	23,840.0	25,212.6	26,717.5
Total operating expenses	(18,232.0)	(18,720.0)	(19,664.1)	(20,639.8)
R&D	(1,958.0)	(2,008.9)	(2,137.1)	(2,278.1)
Other operating inc./exp.)	(31.0)	(31.6)	(46.4)	(49.1)
EBITDA	4,451.0	4,034.0	4,350.4	4,775.5
Depreciation & amortisation	(1,296.0)	(954.5)	(985.4)	(1,025.0)
EBIT	3,155.0	3,079.5	3,364.9	3,750.5
Net interest inc./exp.)	(301.0)	(340.0)	(395.1)	(365.1)
Income/(loss) from associates	—	—	—	—
Profit/(loss) on disposals	—	—	—	—
Total other net	—	—	—	—
Pre-tax profit	2,854.0	2,739.5	2,969.8	3,385.4
Provision for taxes	(686.0)	(657.5)	(757.3)	(863.3)
Minority interest	(23.0)	(31.1)	(42.1)	(57.0)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	2,145.0	2,050.9	2,170.4	2,465.2
Post-tax exceptionals	531.7	486.9	489.7	506.0
Net inc. (post-exceptionals)	2,676.7	2,537.8	2,660.1	2,971.2
EPS (basic, pre-exception) (€)	1.92	1.83	1.94	2.20
EPS (basic, post-exception) (€)	2.39	2.27	2.38	2.65
Wtd avg shares out. (basic) (mn)	1,119.5	1,119.5	1,119.5	1,119.5
Tax rate (%)	24.0	24.0	25.5	25.5
Common dividends declared	1,192.4	1,145.1	1,216.9	1,387.2
DPS (€)	1.07	1.02	1.09	1.24

Balance Sheet (€ mn)

	9/25	9/26E	9/27E	9/28E
Cash & cash equivalents	2,175.0	2,501.0	3,022.1	3,777.1
Accounts receivable	4,681.0	4,774.1	5,049.0	5,350.4
Inventory	4,135.0	4,380.4	4,602.2	4,844.7
Other current assets	3,108.0	3,145.4	3,255.6	3,376.5
Total current assets	14,099.0	14,800.9	15,929.0	17,348.7
Net PP&E	4,713.0	5,495.2	6,273.6	7,052.3
Net intangibles	23,629.0	23,141.4	22,637.2	22,108.8
Total investments	19.0	8.8	(2.0)	(13.4)
Other long-term assets	1,910.0	1,912.0	1,914.2	1,916.5
Total assets	44,370.0	45,358.4	46,751.9	48,413.0
Accounts payable	2,296.0	2,326.4	2,444.2	2,573.0
Short-term debt	102.0	102.0	102.0	102.0
Short-term lease liabilities	166.0	166.0	166.0	166.0
Other current liabilities	10,080.0	10,152.4	10,366.2	10,600.6
Total current liabilities	12,644.0	12,746.8	13,078.4	13,441.6
Long-term debt	487.0	487.0	487.0	487.0
Long-term lease liabilities	0.0	0.0	0.0	0.0
Other long-term liabilities	13,148.0	13,148.0	13,148.0	13,148.0
Total long-term liabilities	13,635.0	13,635.0	13,635.0	13,635.0
Total liabilities	26,279.0	26,381.8	26,713.4	27,076.6
Preferred shares	—	—	—	—
Total common equity	18,040.0	18,894.4	19,914.3	21,155.1
Minority interest	51.0	82.1	124.2	181.2
Total liabilities & equity	44,370.0	45,358.4	46,751.9	48,413.0
Capital employed	18,680.0	19,565.6	20,627.5	21,925.3
Adj for unfunded pensions & GW	—	—	—	—

Cash Flow (€ mn)

	9/25	9/26E	9/27E	9/28E
Net income	2,168.0	2,082.0	2,212.5	2,522.1
D&A add-back	1,296.0	954.5	985.4	1,025.0
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(93.0)	(272.9)	(274.8)	(301.0)
Other operating cash flow	162.0	54.7	104.4	63.0
Cash flow from operations	3,533.0	2,818.3	3,027.5	3,309.1
Capital expenditures	(818.0)	(953.6)	(958.1)	(961.8)
Acquisitions	(216.0)	—	—	—
Divestitures	3.0	—	—	—
Others	126.0	(2.0)	(2.2)	(2.3)
Cash flow from investing	(905.0)	(955.6)	(960.2)	(964.1)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(1,079.0)	(1,196.5)	(1,150.6)	(1,224.3)
Inc/(dec) in debt	(185.0)	—	—	—
Other financing cash flows	(1,775.0)	(340.2)	(395.6)	(365.7)
Cash flow from financing	(3,039.0)	(1,536.6)	(1,546.2)	(1,590.0)
Total cash flow	(508.0)	326.0	521.1	755.0
Reinvestment rate (%)	22.6	30.8	29.0	26.6

Source: Company data, Goldman Sachs Research estimates.

We sit slightly below consensus on Q3 26 sales, but in line on EBIT/EPS

We estimate 4.1% organic revenue growth in Q3 26 (vs 4.8% consensus) driving €5,783m sales (-1% below consensus). We sit below consensus divisional organic sales growth expectations for all divisions; Imaging/Precision Therapy we sit -60/80bps below and -120bps below for Diagnostics. Additionally, we expect a y/y margin decline in Q3 (GSe 15.6% adj. EBIT margin, -130bps y/y and broadly in line with consensus). While we do not expect material impacts from tariffs (in the base as of Q3 26) we expect margins to decline across all divisions due to FX and additional cost inflation.

- In **Imaging** we forecast +5% organic growth in Q3 (-70bps below consensus) and €3,056m sales, -1% below consensus. While within the stated FY26 range of MSD divisional growth, we expect Imaging growth to decelerate in Q3 (+6% growth in Q2 26) on a tough comp (+12% in Q3 25). We forecast €694m adj. EBIT in Q3 (+1% vs consensus) driving 22.7% adj. EBIT margin (-100bps y/y, +30bps vs consensus) as FX and incremental supply chain inflation weigh on margins against a particularly favourable prior-year business mix in Q3 2025.
- In **Diagnostics** we forecast a -3% sales decline (-120bps below consensus) in Q3 driving €1,008m sales, -1% below consensus. We note this decline is less than the 5% decline in Diagnostics in H1 as China headwinds ease but do not abate, in our view (see note [here](#)). Our adj. EBIT margin estimate of 3% (down >600bps y/y, -50bps below consensus) contemplates a similar contraction in margin as Q2 (~5pp) as China/top-line headwinds continue to weigh on profitability, as well as a tougher comp (>9% margin Q3 25).
- For **Precision Therapy** we forecast +7% organic growth in Q3 (-80bps below consensus) driving €1,702m sales, -1% below consensus. We expect this acceleration in growth (+5% in Q2 26) to be driven by Advanced Therapies (new portfolio launching in 2026) after a softer start to the year. We expect adj. EBIT margins of 14% (-40bps y/y, +20bps vs consensus) to be down y/y driven by FX and supply chain inflation; our adj. EBIT expectation of €238m is +1% above consensus.

Exhibit 1: We sit slightly below consensus on sales, but broadly inline on adj. EBIT/EPS in Q3 26

GS vs Visible Alpha Consensus

		Gse Q3 26e	VA Consensus Q3 26e	Gse vs Consensus Q3 26e
Group				
Revenue	EURm	5,783	5,823	-0.7%
Organic impact	%	4.1%	4.8%	(77bps)
Adjusted EBIT margin	EURm	899	903	-0.4%
	%	15.6%	15.5%	4bps
Net financials	EURm	(90)	(90)	-0.2%
Income tax	EURm	(156)	(166)	-6.2%
Adjusted EPS	EUR/share	0.54	0.54	0.4%
By division				
<u>Imaging</u>				
Revenue	EURm	3,056	3,075	-0.6%
Organic impact	%	5.0%	5.6%	(56bps)
adj. EBIT	EURm	694	689	0.6%
EBIT margin	%	22.7%	22.4%	28bps
<u>Diagnostics</u>				
Revenue	EURm	1,008	1,021	-1.2%
Organic impact	%	-3.0%	-1.8%	(123bps)
adj. EBIT	EURm	30	36	-15.1%
EBIT margin	%	3.0%	3.5%	(49bps)
<u>Precision Therapy</u>				
Revenue	EURm	1,702	1,712	-0.6%
Organic impact	%	7.0%	7.7%	(75bps)
adj. EBIT	EURm	238	236	0.9%
EBIT margin	%	14.0%	13.8%	21bps

Source: Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Continue to sit below consensus FY27 EPS due to a more cautious view on China Dx profitability

We continue to have a constructive view on the medium-term business fundamentals for Healthineers “synergistic core” (which consists of the Imaging and Precision Therapies businesses). However, we also continue to see modest downside risk to consensus expectations in FY27 due to our more cautious view on a recovery in China Diagnostics; GSe -4% below Visible Alpha Consensus FY27 adj. EPS. We believe that the lack of positive EPS revisions has weighed on shares (Healthineers has not seen material positive revisions since December 2021) as well as the valuation overhang of the parent sell-down from Siemens AG.

After our trip to China in March, we flagged additional policy risk in China Dx for Healthineers from: 1) potential Hemostasis VBP, and 2) implementation of IVD pricing unification/service pricing guidelines. Given this risk of further policy headwinds, we take a more cautious view and currently model a much shallower recovery in Diagnostics profitability in FY27e; GSe sit broadly in line with sales in FY27 but our Diagnostics adj. EBIT of €111m is -40% consensus at €196m. Consensus assumes +73% Y/Y EBIT growth in FY27e (which accounts for ~20% of group EBIT growth).

China diagnostics updates from peers. We flag comments from our China team who hosted Mindray (300760.SZ - covered by Tianyi Yan) at our recent China Corporate Healthcare Day when management noted two risks in China’s IVD industry recovery: 1) Mindray expects DRG 3.0 could be rolled out later in 2026 (which may affect testing volumes), and 2) while formal medical service pricing guidelines (pricing unification) have not been released, implementation of a similar policy could further pressure reagent pricing. Management views the current policy environment in China as favorable for import substitution: as hospitals become more cost-sensitive and leading domestic products catch up with MNCs, Mindray expects to accelerate share gains from multinational players (*like Siemens Healthineers*) and weaker domestic competitors.

SNIBE (300832.SZ - covered by Tianyi Yan) noted the upcoming laboratory service pricing guideline policy rollout has been slower than market expectations and management believes an aggressive nationwide price cut to Zhejiang-level pricing is unlikely. The company’s base case assumes a 5-10% reagent ASP decline if the policy lands in 2H26; if implementation is delayed, the pricing impact would shift to 2027.

Laboratory service pricing guideline - pricing unification risk remains. As a reminder, on March 11, 2026, China’s National Healthcare Security Administration (NHSA) issued the Diagnostics Services Price Items Guideline which proposes setting upper limits on payment prices for all testing items (which our China team expect will once again impact the IVD industry). We anticipate the official release of this guideline in the summer of 2026, with formal implementation likely by 4Q26 or 1H27.

Changes to estimates

Updating for latest FX, our adj. EBIT/EPS estimates are +1% across FY26-28e.

Exhibit 2: New vs old GS estimates

	SEP. YE	FY26e	New FY27e	FY28e	FY26e	Old FY27e	FY28e	FY26e	New vs Old FY27e	FY28e
Revenue	EURm	23,840	25,213	26,718	23,710	25,075	26,572	0.5%	0.5%	0.5%
- organic growth	%	4.9%	5.8%	6.0%	4.9%	5.8%	6.0%	0bps	0bps	0bps
<i>Imaging</i>	<i>EURm</i>	<i>12,469</i>	<i>13,217</i>	<i>14,010</i>	<i>12,400</i>	<i>13,144</i>	<i>13,933</i>	<i>0.6%</i>	<i>0.6%</i>	<i>0.6%</i>
- organic growth	%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	0bps	0bps	0bps
<i>Diagnostics</i>	<i>EURm</i>	<i>4,105</i>	<i>4,187</i>	<i>4,354</i>	<i>4,082</i>	<i>4,164</i>	<i>4,330</i>	<i>0.6%</i>	<i>0.6%</i>	<i>0.6%</i>
- organic growth	%	-3.0%	2.0%	4.0%	-3.0%	2.0%	4.0%	0bps	0bps	0bps
<i>Precision Therapy</i>	<i>EURm</i>	<i>7,162</i>	<i>7,699</i>	<i>8,238</i>	<i>7,123</i>	<i>7,657</i>	<i>8,193</i>	<i>0.6%</i>	<i>0.6%</i>	<i>0.6%</i>
- organic growth	%	6.0%	5.0%	5.0%	6.0%	5.0%	5.0%	0bps	0bps	0bps
<i>Central</i>	<i>EURm</i>	<i>105</i>	<i>110</i>	<i>116</i>	<i>105</i>	<i>110</i>	<i>116</i>	<i>0.0%</i>	<i>0.0%</i>	<i>0.0%</i>
- organic growth	%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	0bps	0bps	0bps
Adjusted EBIT	EURm	3,720	4,022	4,430	3,698	3,999	4,404	0.6%	0.6%	0.6%
- as % revenue	%	15.6%	16.0%	16.6%	15.6%	16.0%	16.6%	(0bps)	(0bps)	(0bps)
<i>Imaging</i>	<i>EURm</i>	<i>2,804</i>	<i>2,999</i>	<i>3,207</i>	<i>2,789</i>	<i>2,982</i>	<i>3,189</i>	<i>0.6%</i>	<i>0.6%</i>	<i>0.6%</i>
- as % revenue	%	22.5%	22.7%	22.9%	22.5%	22.7%	22.9%	0bps	0bps	0bps
<i>Diagnostics margin</i>	<i>EURm</i>	<i>109</i>	<i>111</i>	<i>159</i>	<i>109</i>	<i>111</i>	<i>159</i>	<i>0.6%</i>	<i>0.6%</i>	<i>0.6%</i>
	%	2.7%	2.7%	3.7%	2.7%	2.7%	3.7%	0bps	0bps	0bps
<i>Precision Therapy margin</i>	<i>EURm</i>	<i>1,059</i>	<i>1,177</i>	<i>1,342</i>	<i>1,053</i>	<i>1,170</i>	<i>1,334</i>	<i>0.6%</i>	<i>0.6%</i>	<i>0.6%</i>
	%	14.8%	15.3%	16.3%	14.8%	15.3%	16.3%	0bps	0bps	0bps
<i>Central</i>	<i>EURm</i>	<i>(252)</i>	<i>(265)</i>	<i>(278)</i>	<i>(252)</i>	<i>(265)</i>	<i>(278)</i>	<i>0.0%</i>	<i>0.0%</i>	<i>0.0%</i>
Net Financial Result	EURm	(340)	(395)	(365)	(340)	(395)	(365)	0.0%	0.0%	0.0%
Tax	EURm	(657)	(757)	(863)	(653)	(752)	(858)	0.7%	0.7%	0.7%
Adjusted Net income	EURm	2,569	2,702	3,028	2,552	2,685	3,009	0.6%	0.7%	0.6%
Basic reported EPS	EUR/share	1.83	1.94	2.20	1.82	1.93	2.19	0.7%	0.7%	0.7%
Adjusted EPS	EUR/share	2.27	2.38	2.65	2.25	2.36	2.64	0.7%	0.7%	0.7%

Source: Goldman Sachs Global Investment Research

Our PT is unchanged at €42.

Valuation methodology: Our 12-month target price of €42 is derived from a blended DCF/multiple approach, each carrying a 50% weighting. Our DCF implies an intrinsic value of €41.6 per share and uses a WACC of 7.6% and an unchanged terminal growth assumption of +2%. Our multiples-based approach applies an unchanged 16x P/E multiple to our annualised Q5-Q8 EPS estimates and implies a value of €42.2 per share.

Key upside risks to our view and PT include: Material stimulus directed towards hospital capex in China, faster-than-expected transformation of the Diagnostics business, upside surprise on Varian synergies and margin, and greater-than-expected tailwinds from pricing.

Key downside risks to our view and PT include: Material slowdown in order growth, supply chain constraints, sustained adverse impacts from the anti-corruption campaign in China, and market share losses.

Disclosure Appendix

Reg AC

We, Richard Felton, CFA and Lauren Mitchell, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

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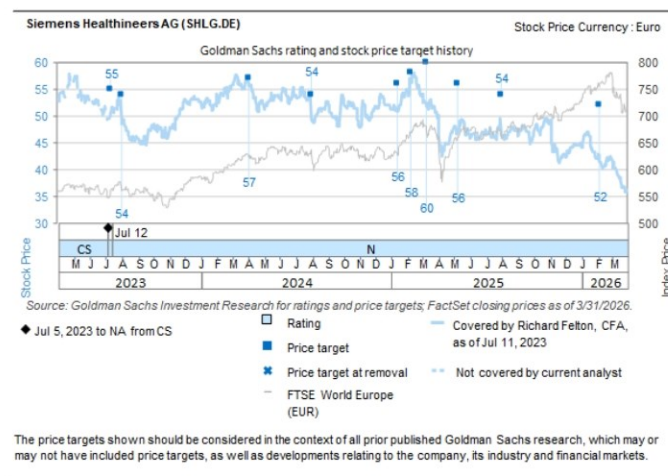
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Price target and rating history chart(s)



Target price history table(s)

Siemens Healthineers AG (SHLG.DE)

Date of report	Target price (€)	Closing price (€)
11-May-26	42.00	33.57
07-Apr-26	45.00	35.94
06-Feb-26	52.00	41.40
01-Aug-25	54.00	46.43
08-May-25	56.00	46.54
11-Mar-25	60.00	51.56
07-Feb-25	58.00	56.22
13-Jan-25	56.00	50.74
31-Jul-24	54.00	49.63
03-Apr-24	57.00	55.66
02-Aug-23	54.00	49.38
12-Jul-23	55.00	50.36

Price targets shown in table(s) are unadjusted for corporate actions.

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